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Renesas Electronics (6723) | Japan

Raising Our Data Center Revenue Forecasts

WHAT'S CHANGED

Renesas Electronics (6723.T)	From	To
Price Target	¥6,000	**¥5,500**
CY26e Non-GAAP OP	¥548.2bn	**¥553.8bn**
CY27e Non-GAAP OP	¥662.6bn	**¥678.9bn**

We maintain our Overweight rating despite lowering our price target, as we continue to view Renesas as a major beneficiary of expansion in Agentic AI and the AI ASIC market.

Key Takeaways

- We raise our CY25-28 data center revenue CAGR forecast from 47% to 55%.
- We believe Renesas' strong position in digital power is sustainable.
- The stock trades at 12x our CY27 Non-GAAP EPS forecast, which we view as undervalued relative to our CY25-28 EPS CAGR forecast of 26%.

Maintain Overweight: In 2027, we expect the next-generation GPU platform and digital power for two AI ASIC customers to contribute for a full year. Data center revenue should continue to grow above the company's long-term targets, supporting our conviction in a mid- to high-teens company-wide revenue CAGR over the medium to long term.

Our price target is based on 18x our CY27 EPS forecast: Reflecting multiple compression across broad-based semiconductor stocks, we lower our target multiple from 20x to 18x, representing an approximately 5% discount to peers.

We raise our earnings forecasts: Reflecting (a) the GPU/AI ASIC market growth outlook, (b) the sustainability of Renesas' strong digital power position, and (c) planned internal fab capacity expansion, we raise our CY25-28 data center revenue CAGR forecast from 47% to 55%. Our CY27/28 revenue forecasts are 5%/8% above IFIS consensus.

How sustainable is the strong growth in digital power? Renesas provides system-level test tools and software enabling high-accuracy emulation and design verification from the pre-PCB stage of AI accelerator boards. We believe its strong position in GPU and AI ASIC digital power reflects not only device performance, but also its ability to engage with customer designs at an early stage. We therefore see the position as sustainable.

Catalysts: (1) Positive management commentary on the data center business, (2) earnings growth at SiTime (Renesas holds a ~12% stake), and (3) over the medium to long term, progress in qualification of GaN devices for 800V HVDC AI data center applications, for which sample shipments began at the end of Sep.

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Renesas Electronics (6723.T, 6723 JT)

Japan Semiconductors | Japan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	¥5,500
Up/downside to price target (%)	40
Shr price, close (Oct 7, 2026)	¥3,924
Mkt cap, curr, basic (bn)	¥7,153.8
Div yld (12/26e) (%)	0.7

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
Revenue, net (¥bn)	1,321.2	1,646.3	1,906.4	2,155.9
Operating profit (¥bn)*	386.9	553.8	678.9	816.3
Net income (¥bn)**	329.3	446.6	551.8	669.6
EPS, basic (¥)*	(28.7)	410.4	238.6	303.2
Prior EPS, basic (¥)*	-	407.0	228.2	281.4
EPS (¥)**	182.5	245.7	302.7	367.3
Prior EPS (¥)**	-	242.2	292.0	345.1
P/E, basic*	NM	9.6	16.4	12.9
P/BV, basic	1.6	2.3	2.0	1.8
ROE (%)*	(2.0)	30.5	13.9	15.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
Operating profit*, Net income**, EPS** and Prior EPS** are based on Non-GAAP
* = GAAP or approximated based on GAAP
** = Based on consensus methodology
e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Renesas Electronics 6723.T		
Non-GAAP operating profit	↑ Likely upside surprise	↑ Modest revision higher

- Our Sep-Q Non-GAAP OP forecast is ¥148.7bn, at the upper end of market expectations of ¥145-148bn.
- Our Dec-Q Non-GAAP OP forecast is ¥146.9bn, broadly in line with market expectations.
- We believe the shares would react positively if management provides an upbeat outlook for the data center business.

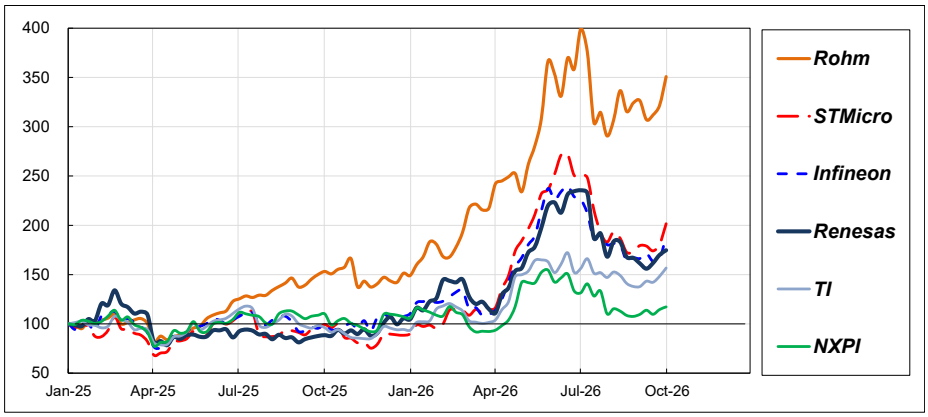
*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Summary and Investment View

Maintain Overweight

Renesas shares rose following the company's earnings announcement in June and its 2Q26 results in July, but have since declined amid a broader correction in broad-based semiconductor stocks.

Exhibit 1: Broad-based semiconductor companies: Stock price performance since end-2024



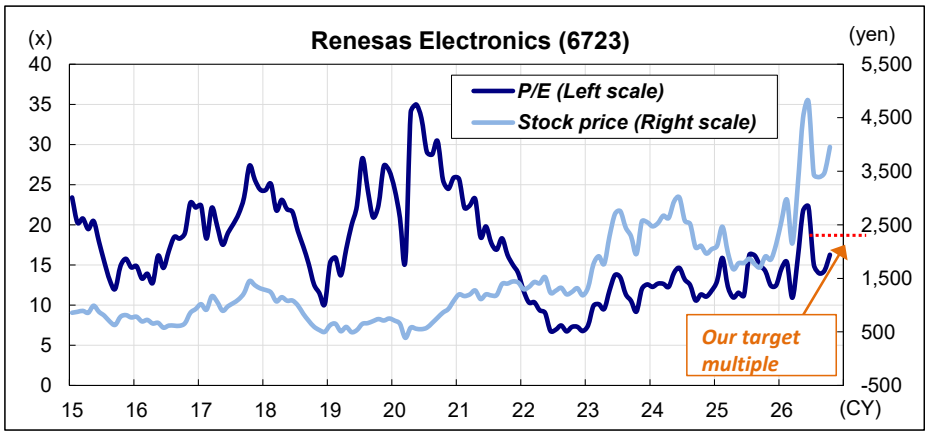
Source: FactSet, Morgan Stanley Research

That said, we believe the company's data center business continues to perform solidly, in line with the outlook presented at its Capital Market Day, and we raise our earnings forecasts.

Our previous price target was based on 20x our CY27 Non-GAAP EPS forecast, applying a 5% discount to the average multiple of peers Infineon Technologies, STMicroelectronics, and NXP Semiconductors to reflect uncertainty surrounding Renesas' software/digital strategy. Given the overall decline in broad-based semiconductor stocks and our view that the semiconductor market excluding AI is moving toward mid-cycle conditions, we lower the multiple underlying our price target to 18x our CY27 Non-GAAP EPS forecast. We therefore lower our price target from ¥6,000 to ¥5,500, while maintaining our Overweight rating.

KIOXIA Holdings remains our Top Pick across our semiconductor, consumer electronics and conglomerate coverage. We also recommend Renesas as a major beneficiary of the expansion in Agentic AI and the AI ASIC market.

Exhibit 2: Renesas Electronics: 1-year forward P/E (consensus EPS basis)

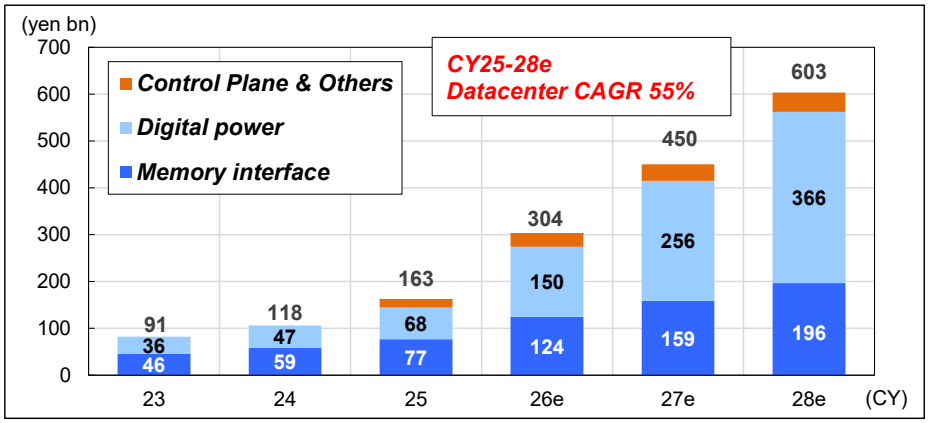


Source: FactSet, Morgan Stanley Research

What's Changed

We raise our CY25-28 data center revenue CAGR forecast from 47% to 55%, based on the following three factors.

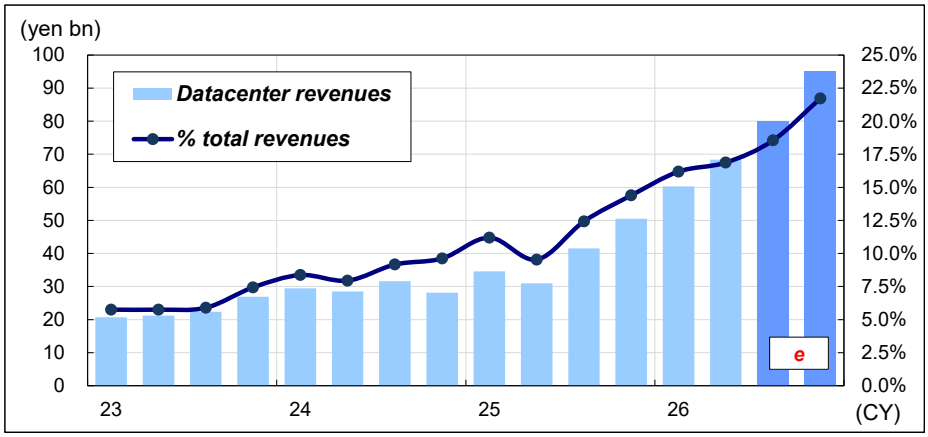
Exhibit 3: Renesas: Data center revenues



Source: Morgan Stanley Research. e = Morgan Stanley Research estimates.

1. New design wins are set to contribute for a full year in CY27: Digital power products—which provide stable and efficient voltage and current supply to GPUs, AI ASICs, and other devices in AI servers—began generating revenue for an AI ASIC customer in 2Q26. In 2H26, we expect revenue from the next-generation GPU AI platform to ramp, followed by digital power revenue from a second AI ASIC customer in 4Q. We expect these businesses to contribute for a full year in 2027.

Exhibit 4: Renesas: Quarterly data center revenues



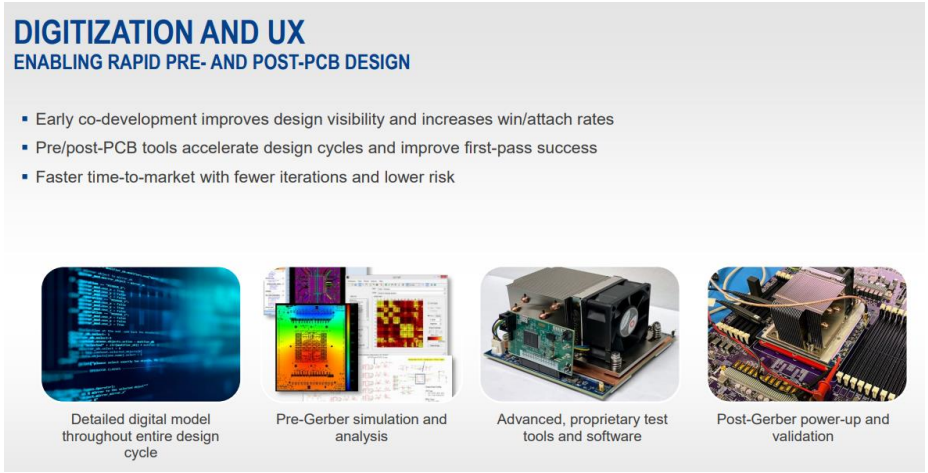
Source: Morgan Stanley Research. e = Morgan Stanley Research estimates.

2. We believe Renesas' strong position in digital power is sustainable: AI accelerator board design is generally carried out in parallel with AI GPU/ASIC design. For AI GPU/ASIC vendors, it is important to identify as early as possible the risk that a board may not operate as expected and to make any necessary design changes.

Renesas provides customers with system-level test tools and software that enable high-accuracy emulation and analysis from the pre-PCB modeling stage of AI accelerator boards, including, for example, the emulation of several thousand amperes of current consumed by an ASIC.

We believe Renesas has established a strong position in digital power for GPUs and two AI ASIC customers not only because of device performance, but also because customers value these development-support capabilities. This enables Renesas to engage with customer designs from an early stage, increasing the probability of design wins and, in some cases, creating opportunities to attach complementary products. We therefore believe its position is highly sustainable.

Exhibit 5: Renesas: Differentiation in digital power



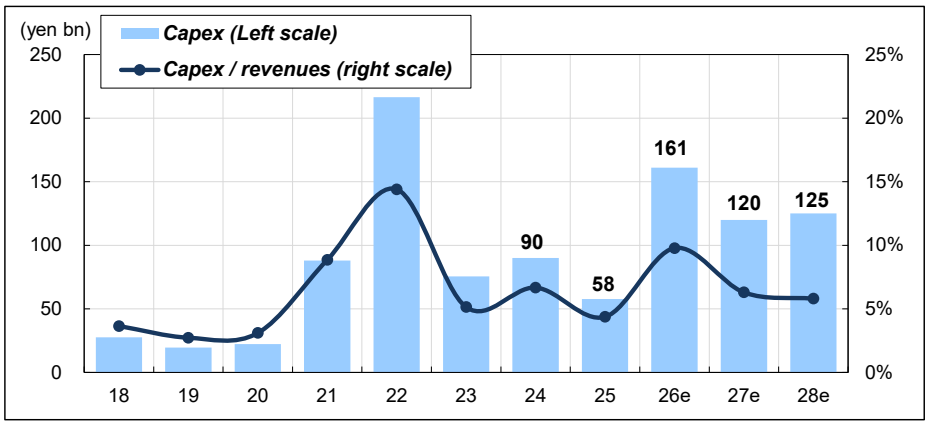
Source: Company presentation (June 2026)

3. Manufacturing capacity is set to expand: Some investors are concerned about supply constraints amid strong demand for digital power. However, Renesas expects to meet

near-term demand using foundry capacity. In addition, production is expected to begin in 1Q27 using expanded internal fab capacity at the 8-inch line in the Saijo plant. Production at the 12-inch line in the Kofu plant is also expected to begin in 2028. These capacity additions should increase Renesas' ability to respond to upside demand. We believe our digital power revenue growth forecasts are achievable from a manufacturing capacity perspective as well.

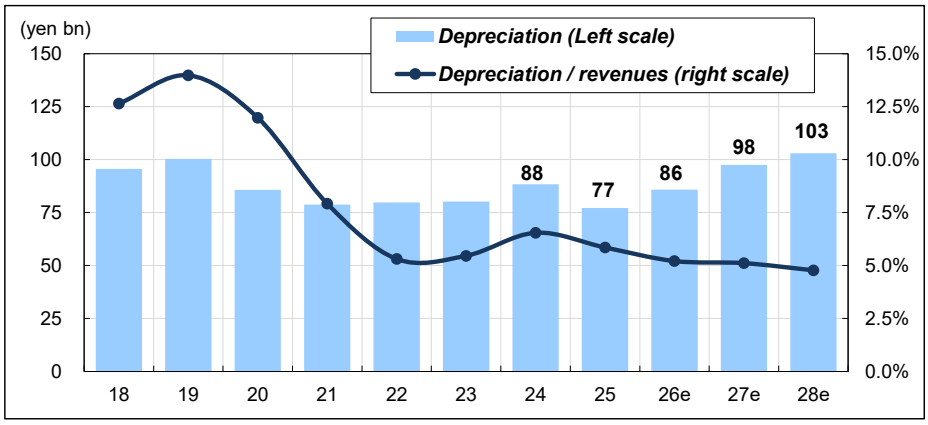
Given the expansion of internal fab capacity, we expect capex on an order basis to remain somewhat above the company's medium-term capital allocation guideline of approximately 5% of sales. We therefore raise our capex and depreciation forecasts. That said, we expect depreciation as a percentage of sales to remain around 5%. We believe the higher depreciation burden can be absorbed by revenue growth, allowing gross margin to remain stable.

Exhibit 6: Renesas: Capex (orders basis)



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 7: Renesas: Non-GAAP depreciation



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates

Investment Thesis for Renesas

1. Improving top-line growth outlook: We think one of the main reasons for Renesas' valuation discount has historically been its low top-line growth.

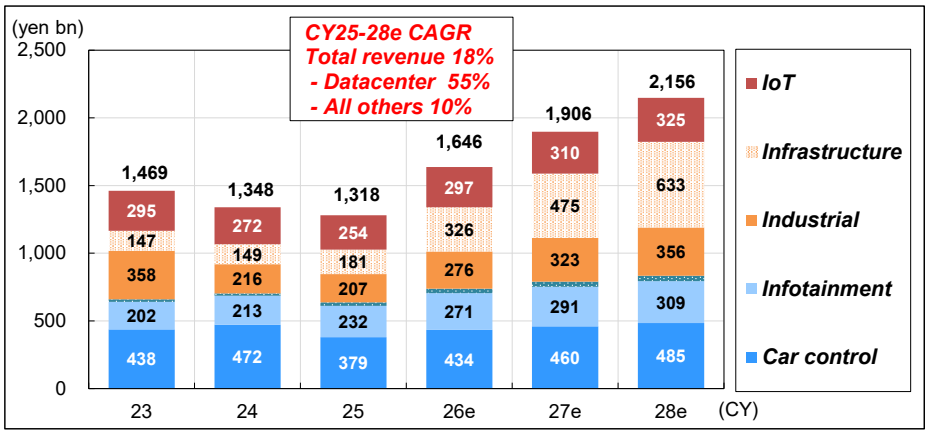
However, as discussed above, we expect data center revenue to continue growing at a rate above the company's medium-term targets—45-55% CAGR for digital power from CY26

and 20-30% CAGR for memory interface. As a result, even assuming mid-single-digit annual growth in automotive revenue in 2027-28, we believe company-wide revenue can achieve a mid-teens CAGR.

There may be downside risk in automotive amid rising interest rates globally. We forecast automotive revenue growth of 7% YoY in CY27 and 6% in CY28, driven by R-Car Gen-4 and 28nm MCUs.

Our total revenue forecasts are 5% above IFIS consensus for CY27 and 8% above for CY28. We believe the strong data center revenue growth we forecast is not yet reflected in the share price.

Exhibit 8: Renesas: Total revenues



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 9: Renesas: Revenue forecasts

(yen bn) CY	24	25	26e	27e	28e	CAGR 25-28e
Total Revenues	**1,348.5**	**1,318.5**	**1,646.3**	**1,906.4**	**2,155.9**	**18%**
Datacenter revenues	**117.8**	**163.0**	**303.8**	**450.5**	**603.3**	**55%**
Memory Interface	58.9	76.6	124.4	158.6	196.5	37%
Digital power	47.1	67.6	149.9	256.3	365.5	75%
Control plane & other		18.7	29.4	35.6	41.3	30%
Non-datacenter revenues	**1,230.7**	**1,155.5**	**1,342.5**	**1,455.9**	**1,552.6**	**10%**
Automotive	702.8	638.0	737.7	789.6	834.2	9%
Industrial, Non-DC infra & IoT	527.9	517.5	604.8	666.3	718.4	12%
YoY % change						
Total Revenues	**-8%**	**-2%**	**25%**	**16%**	**13%**	
Datacenter revenues	**29%**	**38%**	**86%**	**48%**	**34%**	
Memory Interface	29%	30%	62%	27%	24%	
Digital Power	29%	44%	122%	71%	43%	
Control plane & other	-	-	57%	21%	16%	
Non-datacenter revenues	**-11%**	**-6%**	**16%**	**8%**	**7%**	
Automotive	6%	-9%	16%	7%	6%	
Industrial, Non-DC infra & IoT	-26%	-2%	17%	10%	8%	

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

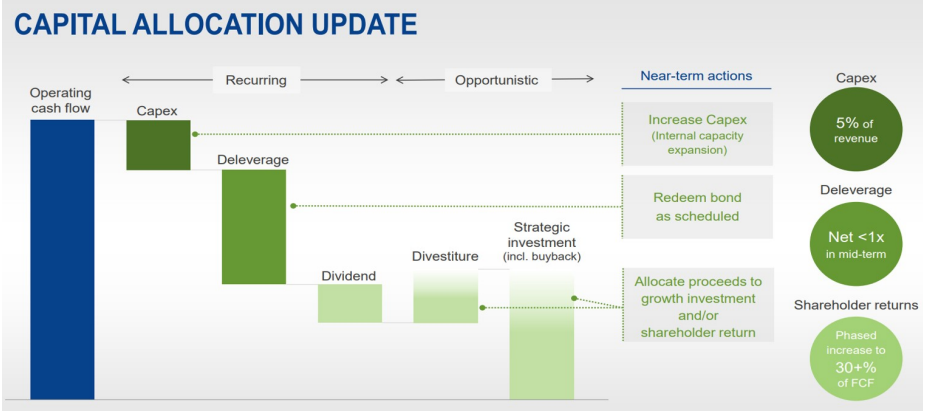
2. Shareholder returns under the medium-term capital allocation policy: We think uncertainty surrounding M&A and capital allocation policy, together with concerns about

top-line growth, has been a big reason for the company's valuation discount.

In 2026, in addition to an increase in core FCF driven by earnings growth, Renesas expects to record proceeds from the sale of its timing business to SiTime, consisting of $1.5bn in cash and approximately 3.59mn SiTime shares. We expect this to reduce financial leverage, with Renesas moving close to a net-cash position by the end of CY27.

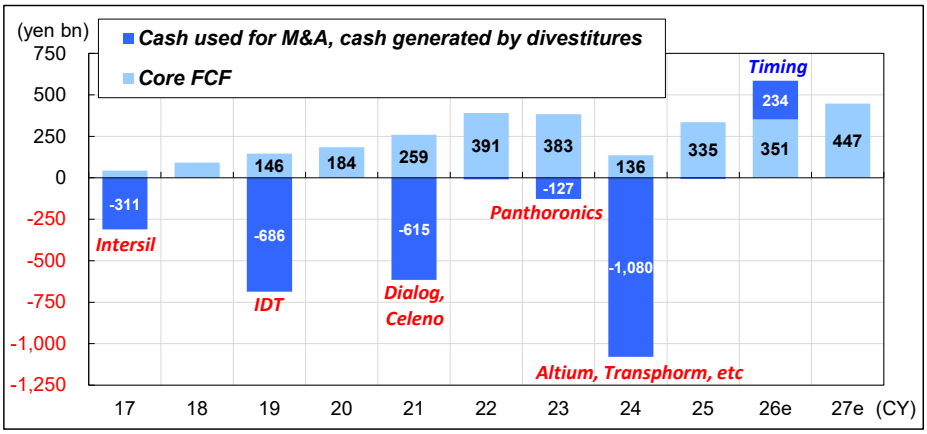
Under its medium-term capital allocation policy, Renesas intends to increase the proportion of FCF allocated to shareholder returns to approximately 30% over the medium term. Regarding the proceeds from the timing business sale, management said it would "take time to consider" how to use them, adding that under current conditions there is some rationale for retaining capital and cash to preserve flexibility. This indicates a cautious stance toward immediately returning the proceeds to shareholders. Nevertheless, as FCF continues to expand and a net-cash position comes into view, we think the likelihood of shareholder returns in line with the company's capital allocation policy will increase.

Exhibit 10: Renesas: Capital allocation update in June 2026



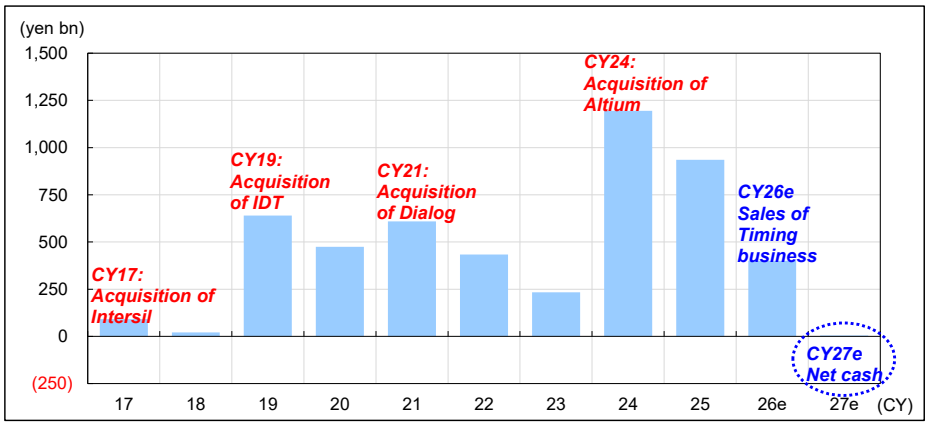
Source: Company presentation (June 2026)

Exhibit 11: Renesas: Cash flow



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 12: Renesas: Net debt



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Catalysts

1. Positive management commentary on the data center business at earnings announcements: Management's previous comments on the data center revenue outlook have indicated that the company expects digital power revenue to grow approximately 100% YoY in CY26 and at a 45-55% CAGR from CY27 onward, while memory interface revenue grows at a 20-30% CAGR from CY25. If management provides a strong outlook for CY27 on the 3Q or 4Q earnings calls, we believe this could drive upward revisions to CY27 consensus estimates.

2. Earnings growth at SiTime could highlight the value of Renesas' equity stake: On July 1, Renesas completed the sale of its timing business to SiTime and received $1.5bn in cash and approximately 3.59mn SiTime shares, valued at $2.7bn based on the June 30 closing price. Renesas plans to record a gain on the sale of approximately ¥443.3bn in its Sep Q results.

Based on SiTime's October 5 closing share price of $710 and an exchange rate of ¥158/$, Renesas' SiTime stake is worth approximately ¥403bn, equivalent to roughly 6% of Renesas' current market capitalization.

Our US semiconductor analyst Joseph Moore rates SiTime Overweight, reflecting the growth opportunity for precision timing devices in AI/data center applications (SiTime Corporation: Timing is Right; Initiate at Overweight (17 Sep 2026)).

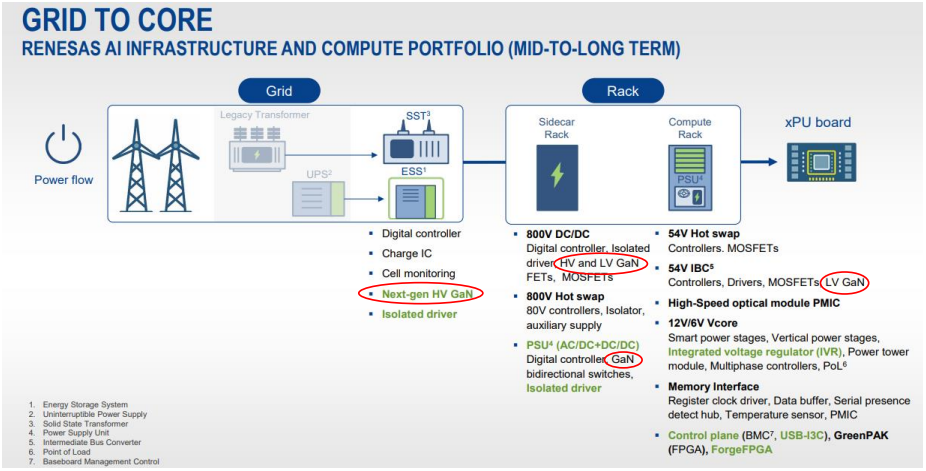
3. Medium- to long-term progress in qualification of GaN devices for 800V HVDC AI data center applications: At the end of September, Renesas began supplying samples of 650V GaN devices for 800V high-voltage direct-current (HVDC) architectures to major AI data center OEMs and ODMs. Key applications include DC/DC intermediate bus converter (IBC) step-down stages converting 800V to 48V, 12V and 6V, as well as battery backup unit (BBU) and capacitor backup unit (CBU) stages in sidecar power racks. Mass production is scheduled to begin around mid-2027.

Renesas acquired Transphorm in 2024, gaining GaN product technology, patents and manufacturing capabilities. Transphorm has manufacturing sites in Japan and Taiwan and an R&D site in California. In addition, in 2025 Renesas reached an agreement with Polar Semiconductor in Minnesota to manufacture GaN-on-Si devices on 200mm wafers from

2027.

Over the medium to long term, if customer qualification progresses smoothly, we believe Renesas' profile as a major power-device supplier for 800V HVDC architectures will increase. We do not include any earnings contribution from GaN products in our base-case estimates.

Exhibit 13: Renesas: Infrastructure and compute portfolio (Mid-to-long-term), GaN opportunity



Source: Company presentation (June 2026)

Changes to Our Earnings Forecasts

Exhibit 14: Renesas: Earnings forecasts

(yen billions)	CY24	CY25	CY26		CY27		CY28	
CY			e (old)	e (new)	e (old)	e (new)	e (old)	e (new)
US$/Yen Rate	151	150	157	157	155	155	155	155
Euro/Yen Rate	164	167	185	185	185	185	185	185
Non-GAAP								
Net Sales	**1,348.5**	**1,318.5**	**1,638.4**	**1,646.3**	**1,874.9**	**1,906.4**	**2,093.0**	**2,155.9**
Automotive	702.8	638.0	739.6	737.7	793.0	789.6	837.7	834.2
Industrial / Infrastructure / IoT	636.8	642.5	889.3	899.1	1,074.4	1,108.8	1,247.8	1,313.7
Other	8.9	38.1	9.5	9.6	7.5	8.0	7.5	8.0
YoY % change								
Sales (constant currency growth)	**-13%**	**-2%**	**19%**	**20%**	**15%**	**17%**	**12%**	**13%**
Sales	**-8%**	**-2%**	**24%**	**25%**	**14%**	**16%**	**12%**	**13%**
Automotive	6%	-9%	16%	16%	7%	7%	6%	6%
Industrial / Infrastructure / IoT	-20%	1%	38%	40%	21%	23%	16%	18%
Non-GAAP Gross Profit	**756.3**	**759.9**	**955.1**	**962.2**	**1,085.6**	**1,107.4**	**1,217.0**	**1,263.3**
Non-GAAP Gross margin	56.1%	57.6%	58.3%	58.4%	57.9%	58.1%	58.1%	58.6%
Non-GAAP R&D, SG&A	**358.4**	**373.1**	**406.9**	**408.4**	**423.0**	**428.5**	**439.0**	**447.0**
R&D	229.8	218.2	234.1	235.1	248.0	248.0	257.0	260.0
% of sales	17%	17%	14%	14%	13%	13%	12%	12%
SG&A	128.5	154.8	172.8	173.3	175.0	180.5	182.0	187.0
% of sales	10%	12%	11%	11%	9%	9%	9%	9%
Non-GAAP Operating Profit	**397.9**	**386.9**	**548.2**	**553.8**	**662.6**	**678.9**	**778.0**	**816.3**
Non-GAAP Operating margin	29.5%	29.3%	33.5%	33.6%	35.3%	35.6%	37.2%	37.9%
Non-GAAP Net profit	**360.4**	**329.3**	**440.2**	**446.6**	**532.3**	**551.8**	**629.2**	**669.6**
FCF	**-943.6**	**328.2**	**583.5**	**585.4**	**442.1**	**446.9**	**538.0**	**555.0**
GAAP								
Net Sales	**1,348.5**	**1,321.2**	**1,638.4**	**1,646.3**	**1,874.9**	**1,906.4**	**2,093.0**	**2,155.9**
GAAP Operating Profit	**223.0**	**201.2**	**853.8**	**859.4**	**518.3**	**534.6**	**633.7**	**671.9**
GAAP Net Income	**219.0**	**-51.8**	**739.9**	**746.3**	**416.1**	**434.9**	**513.0**	**552.7**
GAAP EPS (yen)	**122.5**	**-28.7**	**407.0**	**410.4**	**228.2**	**238.6**	**281.4**	**303.2**
Non-GAAP EPS (yen)	**201.6**	**182.5**	**242.1**	**245.7**	**292.0**	**302.7**	**345.1**	**367.3**
BPS (Yen)	1,413.8	1,347.3	1,717.9	1,721.4	1,916.2	1,929.9	2,162.6	2,198.1
DPS (Yen)	28.0	28.0	28.0	28.0	30.0	30.0	35.0	35.0
GAAP ROE	10%	-2%	27%	27%	13%	13%	14%	15%
Non-GAAP ROE	16%	13%	16%	16%	16%	17%	17%	18%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research

Where We Could Be Wrong

On the upside, risks include: (1) Data center revenue exceeding our expectations, including potential adoption of GaN solutions for 800V HVDC applications; and (2) Price increases implemented since July contributing more than expected, driving gross margin above 60%.

On the downside, risks include: (1) A sharper-than-expected slowdown in automotive

demand; (2) intensifying competition and market-share losses in digital power; and (3) the announcement of large-scale M&A that reduces investor confidence in the company's capital allocation policy.

Earnings Model

Exhibit 15: Renesas: Non-GAAP earnings

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
US$/Yen Rate	154	146	146	152	150	156	159	158	155	157	155	155	155	155	155
Euro/Yen Rate	161	162	170	176	167	183	185	185	185	185	185	185	185	185	185
Constant currency sales growth															
YoY % change	-17%	-10%	-4%	13%	-2%	18%	16%	22%	22%	20%	-34%	18%	15%	13%	17%
QoQ % change	-1%	9%	3%	2%		4%	7%	7%	3%		3%	5%	5%	1%	
Revenues	308.8	324.6	334.2	350.9	1,318.5	372.3	405.3	431.6	437.5	1,646.3	448.6	469.3	492.5	496.0	1,906.4
YoY % change	-12%	-10%	-3%	20%	-2%	21%	25%	29%	25%	25%	-35%	16%	14%	13%	16%
QoQ % change	6%	5%	3%	5%		6%	9%	6%	1%		3%	5%	5%	1%	
Automotive	154.9	161.4	158.8	162.9	638.0	171.6	187.1	191.0	188.0	737.7	190.3	196.2	202.4	200.8	789.6
Car Control	72.0	76.8	77.0	77.7	303.6	84.1	87.0	89.0	87.2	347.3	89.0	91.6	95.3	94.3	370.2
xEV	19.5	18.4	18.3	19.4	75.6	18.0	23.0	23.0	22.3	86.4	22.3	22.5	22.8	22.5	90.2
Infotainment	35.6	39.5	37.3	37.0	149.5	37.7	41.5	42.0	41.1	162.3	41.1	42.3	43.2	42.8	169.4
ADAS	20.9	20.3	20.2	21.2	82.6	25.1	27.3	27.9	28.1	108.4	28.7	30.1	31.3	31.3	121.5
Other automotive	6.8	6.3	6.0	7.5	26.7	6.7	8.2	9.2	9.2	33.4	9.2	9.5	9.8	9.8	38.3
Industrial / Infrastructure / IoT	143.9	154.5	166.5	177.6	642.5	195.9	216.3	238.9	247.9	899.1	256.3	271.2	288.1	293.3	1,108.8
Industrial	**46.0**	**53.1**	**52.1**	**55.9**	**207.2**	**61.7**	**65.8**	**75.0**	**73.5**	**275.9**	**75.7**	**80.2**	**84.2**	**83.4**	**323.5**
Infrastructure	**38.9**	**37.1**	**47.5**	**57.7**	**181.1**	**66.6**	**73.5**	**85.4**	**100.6**	**326.2**	**106.8**	**114.2**	**123.2**	**130.9**	**475.1**
Datacenter	34.6	31.0	41.5	50.5	163.0	60.3	68.4	80.1	95.1	303.8	101.0	108.1	117.0	124.4	450.5
Other Infrastructure	4.3	6.1	5.9	7.2	23.5	6.3	5.1	5.4	5.6	22.4	5.8	6.0	6.3	6.5	24.6
IoT & Consumer	**59.0**	**64.3**	**66.9**	**63.9**	**254.1**	**67.6**	**77.0**	**78.5**	**73.8**	**297.0**	**73.8**	**76.8**	**80.6**	**79.0**	**310.2**
Other Sales	9.9	8.8	10.4	12.4	38.1	4.9	1.5	1.6	1.6	9.6	2.0	2.0	2.0	2.0	8.0
YoY % change															
Revenues	**-12%**	**-10%**	**-3%**	**20%**	**-2%**	**21%**	**25%**	**29%**	**25%**	**25%**	**20%**	**16%**	**14%**	**13%**	**16%**
Automotive	-13%	-15%	-14%	9%	-9%	11%	16%	20%	15%	16%	11%	5%	6%	7%	7%
Car Control	-26%	-27%	-20%	-1%	-19%	17%	13%	16%	12%	14%	6%	5%	7%	8%	7%
xEV	-27%	-23%	-24%	-7%	-21%	-8%	25%	26%	15%	14%	24%	-2%	-1%	1%	4%
Infotainment	-11%	-13%	-23%	8%	-11%	6%	5%	12%	11%	9%	9%	2%	3%	4%	4%
ADAS	113%	70%	81%	72%	83%	20%	34%	38%	33%	31%	15%	10%	12%	11%	12%
Other automotive	74%	50%	8%	125%	57%	-2%	31%	53%	22%	25%	38%	15%	6%	6%	15%
Industrial / Infrastructure / IoT	-16%	-7%	5%	26%	1%	36%	40%	43%	40%	40%	31%	25%	21%	18%	23%
Industrial	**-25%**	**-9%**	**3%**	**24%**	**-4%**	**34%**	**24%**	**44%**	**31%**	**33%**	**23%**	**22%**	**12%**	**13%**	**17%**
Infrastructure	**3%**	**1%**	**20%**	**64%**	**21%**	**71%**	**98%**	**80%**	**74%**	**80%**	**60%**	**55%**	**44%**	**30%**	**46%**
Datacenter	17%	9%	31%	79%	38%	74%	121%	93%	88%	86%	67%	58%	46%	31%	48%
Other Infrastructure	-49%	-24%	-25%	2%	-25%	48%	-16%	-10%	-23%	-5%	-8%	17%	17%	17%	10%
IoT & Consumer	**-18%**	**-10%**	**-2%**	**6%**	**-7%**	**15%**	**20%**	**17%**	**15%**	**17%**	**9%**	**0%**	**3%**	**7%**	**4%**
Non-GAAP Gross Profit	175.2	184.4	192.5	207.9	759.9	220.3	235.3	251.7	254.9	962.2	260.5	272.1	286.0	288.8	1,107.4
Automotive	80.8	84.5	87.7	92.0	345.0	96.4	103.4	106.6	104.9	411.3	106.6	109.8	113.3	112.4	442.2
Industrial / Infrastructure / IoT	88.2	93.3	98.9	108.5	388.9	121.3	131.3	144.5	149.5	546.5	153.2	161.6	172.0	175.6	662.4
Non-GAAP Gross Margin	56.7%	56.8%	57.6%	59.3%	57.6%	59.2%	58.1%	58.3%	58.3%	58.4%	58.1%	58.0%	58.1%	58.2%	58.1%
Automotive	52.2%	52.4%	55.2%	56.5%	54.1%	56.2%	55.3%	55.8%	55.8%	55.8%	56.0%	56.0%	56.0%	56.0%	56.0%
Industrial / Infrastructure / IoT	61.3%	60.4%	59.4%	61.1%	60.5%	61.9%	60.7%	60.5%	60.3%	60.8%	59.8%	59.6%	59.7%	59.9%	59.7%
Non-GAAP SG&A	91.4	92.5	89.3	99.9	373.1	94.8	102.6	103.0	108.0	408.4	104.0	109.0	105.0	110.5	428.5
Non-GAAP R&D	**53.8**	**54.0**	**52.4**	**58.1**	**218.2**	**54.5**	**58.1**	**60.0**	**62.5**	**235.1**	**60.5**	**63.0**	**61.0**	**63.5**	**248.0**
Other SG&A	37.6	38.5	36.9	41.8	154.8	40.3	44.5	43.0	45.5	173.3	43.5	46.0	44.0	47.0	180.5
Non-GAAP Operating Profit	83.8	91.9	103.2	108.0	386.9	125.4	132.7	148.7	146.9	553.8	156.5	163.1	181.0	178.3	678.9
Automotive	46.0	37.6	56.1	56.0	195.7	61.7	64.4								
Industrial / Infrastructure / IoT	28.6	28.8	38.3	45.7	141.4	62.8	69.0								
Non-GAAP Operating Margin	27.1%	28.3%	30.9%	30.8%	29.3%	33.7%	32.7%	34.5%	33.6%	33.6%	34.9%	34.8%	36.8%	35.9%	35.6%
Automotive	29.7%	23.3%	35.3%	34.4%	30.7%	35.9%	34.4%								
Industrial / Infrastructure / IoT	19.9%	18.7%	23.0%	25.7%	22.0%	32.1%	31.9%								
Non-GAAP Net Profit	73.3	77.8	88.2	90.0	329.3	102.9	113.3	119.3	111.1	446.6	128.3	134.5	149.0	140.0	551.8
Capital Spending (Order basis)	12.7	8.4	17.8	18.8	57.6	94.0	22.6	24.5	20.0	161.0	30.0	30.0	30.0	30.0	120.0
% Revenues	4.1%	2.6%	5.3%	5.4%	4.4%	25.2%	5.6%	5.7%	4.6%	9.8%	6.7%	6.4%	6.1%	6.0%	6.3%
Non-GAAP Dep & Amortization	19.7	18.3	19.4	19.8	77.2	20.8	21.6	21.5	22.0	85.8	24.0	24.5	24.5	24.5	97.5
Non-GAAP EBITDA	103.5	110.2	122.5	127.8	464.1	146.2	154.3	170.2	168.9	639.6	180.5	187.6	205.5	202.8	776.4
Non-GAAP EBITDA margin	33.5%	33.9%	36.7%	36.4%	35.2%	39.3%	38.1%	39.4%	38.6%	38.9%	40.2%	40.0%	41.7%	40.9%	40.7%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 16: Renesas: GAAP / Non-GAAP reconciliation

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
GAAP Revenue	308.8	325.5	335.4	351.5	1,321.2	380.3	418.4	431.6	437.5	1,646.3	448.6	469.3	492.5	496.0	1,906.4
+ PPA impact	0.0	-0.9	-1.2	-0.7	-2.7	-8.0	-13.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-GAAP Revenue	**308.8**	**324.6**	**334.2**	**350.9**	**1,318.5**	**372.3**	**405.3**	**431.6**	**437.5**	**1,646.3**	**448.6**	**469.3**	**492.5**	**496.0**	**1,906.4**
GAAP Gross profit	172.9	181.3	192.3	207.3	753.8	223.3	245.1	251.7	254.9	975.0	260.5	272.1	286.0	288.8	1,107.4
+ PPA impact (CoGS)	2.4	3.0	0.2	0.6	6.1	-3.0	-9.8	0.0	0.0	-12.8	0.0	0.0	0.0	0.0	0.0
Non-GAAP Gross profit	**175.2**	**184.4**	**192.5**	**207.9**	**759.9**	**220.3**	**235.3**	**251.7**	**254.9**	**962.2**	**260.5**	**272.1**	**286.0**	**288.8**	**1,107.4**
GAAP Operating Profit	21.5	39.8	72.6	67.2	201.2	90.6	102.1	555.9	110.8	859.4	120.4	127.0	144.9	142.2	534.6
Non-GAAP adjustment	**62.3**	**52.1**	**30.6**	**34.3**	**179.2**	**34.9**	**30.6**	**-407.2**	**36.1**	**-305.6**	**36.1**	**36.1**	**36.1**	**36.1**	**144.3**
+ Impact of PPA (CoGS)	2.4	3.0	0.2	0.6	6.1	-3.0	-9.8	0.0	0.0	-12.8	0.0	0.0	0.0	0.0	0.0
+ Impact of PPA (SG&A, R&D)	34.2	25.2	25.2	25.2	109.9	26.5	25.0	25.0	25.0	101.4	25.0	25.0	25.0	25.0	99.9
+ Stock Compensation Cost etc	8.9	9.6	8.5	8.5	35.4	7.7	11.1	11.1	11.1	41.0	11.1	11.1	11.1	11.1	44.5
+ Other	16.8	14.3	-3.3	0.0	27.8	3.7	4.3	-443.3	0.0	-435.2	0.0	0.0	0.0	0.0	0.0
Non-GAAP Operating Profit	**83.8**	**91.9**	**103.2**	**108.0**	**386.9**	**125.4**	**132.7**	**148.7**	**146.9**	**553.8**	**156.5**	**163.1**	**181.0**	**178.3**	**678.9**
Non-GAAP Dep & Amortization	19.7	18.3	19.4	19.8	77.2	20.8	21.6	21.5	22.0	85.8	24.0	24.5	24.5	24.5	97.5
Non-GAAP EBITDA	**103.5**	**110.2**	**122.5**	**127.8**	**464.1**	**146.2**	**154.3**	**170.2**	**168.9**	**639.6**	**180.5**	**187.6**	**205.5**	**202.8**	**776.4**
Non-GAAP Net Profit	**73.3**	**77.8**	**88.2**	**90.0**	**329.3**	**102.9**	**113.3**	**119.3**	**111.1**	**446.6**	**128.3**	**134.5**	**149.0**	**140.0**	**551.8**

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 17: Renesas: GAAP consolidated income statement

(yen billion) FY	CY25 Mar	Jun	Sep	Dec	CY25	CY26 Mar	Jun	Sep e	Dec e	CY26e	CY27 Mar e	Jun e	Sep e	Dec e	CY27e
Revenue	**308.8**	**325.5**	**335.4**	**351.5**	**1,321.2**	**380.3**	**418.4**	**431.6**	**437.5**	**1,646.3**	**448.6**	**469.3**	**492.5**	**496.0**	**1,906.4**
Automotive	154.9	161.4	158.8	162.9	638.0	171.6	187.1	191.0	188.0	737.7	190.3	196.2	202.4	200.8	789.6
Industrial / Infrastructure / IoT	143.9	154.5	166.5	177.6	642.5	195.9	216.3	238.9	247.9	899.1	256.3	271.2	288.1	293.3	1,108.8
Other Sales	9.9	8.8	10.4	12.4	38.1	12.8	1.5	1.6	1.6	9.6	2.0	2.0	2.0	2.0	8.0
Cost of Revenues	**135.9**	**144.2**	**143.1**	**144.2**	**567.4**	**157.0**	**173.3**	**179.9**	**182.6**	**671.3**	**188.1**	**197.2**	**206.5**	**207.3**	**799.0**
GAAP Gross Profit	**172.9**	**181.3**	**192.3**	**207.3**	**753.8**	**223.3**	**245.1**	**251.7**	**254.9**	**975.0**	**260.5**	**272.1**	**286.0**	**288.8**	**1,107.4**
SG&A	**135.3**	**128.4**	**123.4**	**134.2**	**521.2**	**131.8**	**140.2**	**139.1**	**144.1**	**555.2**	**140.1**	**145.1**	**141.1**	**146.6**	**572.8**
GAAP R&D	58.7	60.2	52.4	62.2	218.2	59.4	65.1	60.0	62.5	235.1	60.5	63.0	61.0	63.5	248.0
Other SG&A	37.6	38.5	36.9	41.8	154.8	40.3	44.5	43.0	45.5	173.3	43.5	46.0	44.0	47.0	180.5
GAAP Amotization of intangibles	34.5	25.5	25.4	26.0	111.4	26.7	25.2	25.2	25.2	102.2	25.2	25.2	25.2	25.2	100.7
Other	4.4	4.3	8.7	4.1	36.8	5.4	5.4	10.9	10.9	44.6	10.9	10.9	10.9	10.9	43.6
Other Income	0.6	1.7	3.7	0.3	6.2	3.5	0.7	443.3	0.0	447.5	0.0	0.0	0.0	0.0	0.0
Other Expenses	16.6	14.9	-0.1	6.2	37.6	4.4	3.4	0.0	0.1	7.9	0.0	0.0	0.0	0.0	0.0
EBITDA	**75.8**	**83.6**	**117.4**	**113.0**	**389.8**	**138.0**	**148.9**	**602.6**	**158.0**	**1,047.5**	**169.6**	**176.7**	**194.6**	**191.9**	**732.8**
GAAP Operating Profit	**21.5**	**39.8**	**72.6**	**67.2**	**201.2**	**90.6**	**102.1**	**555.9**	**110.8**	**859.4**	**120.4**	**127.0**	**144.9**	**142.2**	**534.6**
Finance Income	**9.9**	**4.0**	**52.3**	**-51.6**	**14.7**	**5.0**	**73.8**	**4.2**	**5.5**	**88.5**	**5.2**	**6.2**	**6.2**	**9.4**	**27.0**
Interest & Dividend	5.0	2.0	2.0	1.3	10.3	3.0	3.0	4.0	5.0	15.0	5.0	6.0	6.0	6.0	23.0
Investment Yield					1.8%					1.9%					1.9%
Others	4.9	2.0	50.3	-52.9	4.3	2.0	70.8	0.2	0.5	73.5	0.2	0.2	0.2	3.4	4.0
Finance Expenses	**4.6**	**239.7**	**4.8**	**-3.4**	**245.6**	**10.9**	**5.7**	**3.8**	**5.9**	**26.2**	**3.3**	**3.3**	**3.3**	**14.5**	**24.2**
Interest Expenses	3.7	3.7	3.7	7.9	19.0	3.5	3.5	3.5	5.7	16.2	3.0	3.0	3.0	5.2	14.2
Interest Rates					1.5%					1.4%					1.4%
Others	0.9	236.0	1.1	-11.3	226.6	7.4	2.2	0.3	0.2	10.0	0.3	0.3	0.3	9.3	10.0
Pretax Profit	**26.8**	**-196.1**	**120.0**	**19.0**	**-30.3**	**84.6**	**170.3**	**556.4**	**110.4**	**921.7**	**122.4**	**130.0**	**147.9**	**137.1**	**537.3**
Income Taxes	0.7	5.3	13.7	1.6	21.4	16.3	20.9	111.3	26.7	175.1	23.2	24.7	28.1	26.1	102.1
(Effective Tax Rate)	2.6%	-2.7%	11.4%	8.6%	-70.6%	19.2%	12.3%	20.0%	24.2%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%
Non-controlling interests	0.1	-0.0	0.1	0.0	0.1	0.1	0.2	0.0	0.0	0.3	0.0	0.0	0.0	0.3	0.3
NP (Owners of the Parent)	**26.0**	**-201.3**	**106.3**	**17.3**	**-51.8**	**68.3**	**149.2**	**445.1**	**83.7**	**746.3**	**99.1**	**105.3**	**119.8**	**110.8**	**434.9**
Average Shares (mn)	1,796.0	1,806.5	1,811.4	1,812.4	1,804.1	1,817.4	1,823.1	1,823.1	1,823.1	1,818.2	1,823.1	1,823.1	1,823.1	1,823.1	1,823.1
Per Share Data (yen)															
GAAP EPS	14.5	-111.5	58.7	9.6	-28.7	37.6	81.8	244.1	45.9	410.4	54.4	57.8	65.7	60.8	238.6
Diluted EPS	14.3	-111.5	58.0	9.5	-28.7	37.0	80.5	240.2	45.2	402.7	53.5	56.8	64.6	59.8	234.7
Non-GAAP EPS	40.8	43.1	48.7	49.7	182.5	56.6	62.1	65.4	60.9	245.7	70.4	73.8	81.7	76.8	302.7
DPS	0.0	0.0	0.0	28.0	28.0	0.0	0.0	0.0	28.0	28.0	0.0	0.0	0.0	30.0	30.0
BPS	1,289.8	1,122.9	1,235.1	1,347.3	1,347.3	1,400.4	1,565.5		1,721.4	1,721.4				1,929.9	1,929.9

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 18: Renesas: Consolidated statement of financial position

(yen billion)	CY25					CY26					CY27				
FY	Mar	Jun	Sep	Dec	CY25	Mar	Jun	Sep e	Dec e	CY26e	Mar e	Jun e	Sep e	Dec e	CY27e
Current Assets	**538.4**	**587.2**	**624.5**	**723.6**	**723.6**	**740.7**	**1,206.5**		**1,189.5**	**1,189.5**				**1,530.2**	**1,530.2**
Cash & Cash Equivalents	177.6	211.1	238.4	295.9	295.9	267.6	376.0		687.2	687.2				940.1	940.1
Trade & other receivables	151.6	173.9	168.4	169.1	169.1	198.1	207.2		203.0	203.0				235.0	235.0
Collection Period (days)	42	50	49	47	47	52	51		45	45				45	45
Inventories	**175.6**	**165.7**	**174.5**	**185.9**	**185.9**	**200.0**	**212.1**		**217.0**	**217.0**				**269.3**	**269.3**
Inventory Turnover (CoGS)	118	106	112	114	114	118	112		118	118				123	123
Others	33.5	36.5	43.1	72.6	72.6	75.0	411.1		82.3	82.3				85.7	85.7
Non-current assets	**3,657.1**	**3,285.0**	**3,388.2**	**3,453.6**	**3,453.6**	**3,486.7**	**3,356.1**		**3,602.9**	**3,602.9**				**3,572.6**	**3,572.6**
Tangible Assets	**347.9**	**335.4**	**339.7**	**355.8**	**355.8**	**361.5**	**367.1**		**325.3**	**325.3**				**347.8**	**347.8**
Goodwill and intangible assets	**2,788.1**	**2,678.7**	**2,723.4**	**2,832.7**	**2,832.7**	**2,859.4**	**2,565.5**		**2,778.4**	**2,778.4**				**2,725.7**	**2,725.7**
Investment & Other	**520.9**	**270.5**	**324.5**	**265.1**	**265.1**	**265.8**	**423.5**		**499.1**	**499.1**				**499.1**	**499.1**
Other financial assets	425.9	182.4	235.3	168.4	168.4	163.5	322.6		402.4	402.4				402.4	402.4
Deferred tax assets	45.8	45.5	46.4	51.4	51.4	53.3	52.8		51.4	51.4				51.4	51.4
Other	49.2	42.5	42.8	45.3	45.3	49.0	48.1		45.3	45.3				45.3	45.3
Total Assets	**4,195.3**	**3,872.2**	**4,012.0**	**4,177.2**	**4,177.2**	**4,227.4**	**4,562.5**		**4,792.4**	**4,792.4**				**5,102.8**	**5,102.8**
Current Liabilities	**481.2**	**497.9**	**469.0**	**616.4**	**616.4**	**601.6**	**653.4**		**674.4**	**674.4**				**742.6**	**742.6**
Accounts & Notes Payable	213.3	210.4	197.7	219.2	219.2	217.2	233.2		259.3	259.3				308.6	308.6
Days Payable	134	136	130	141	141	135	138		141	141				141	141
Short-term Debt	143.6	153.3	143.6	242.5	242.5	245.5	247.8		242.5	242.5				242.5	242.5
Other financial liabilities	12.9	8.6	8.9	9.5	9.5	7.4	7.4		9.5	9.5				9.5	9.5
Allowance	14.1	7.1	2.6	4.1	4.1	3.7	4.5		4.1	4.1				4.1	4.1
Others	110.2	118.5	116.1	141.2	141.2	135.2	167.9		159.0	159.0				177.9	177.9
Non-current liabilities	**1,392.0**	**1,337.9**	**1,301.4**	**1,112.3**	**1,112.3**	**1,079.3**	**1,053.6**		**974.3**	**974.3**				**836.3**	**836.3**
Bond & Long-term Debt	1,212.9	1,173.1	1,141.3	964.1	964.1	937.1	910.1		821.1	821.1				678.1	678.1
Other financial liabilities	15.2	14.0	13.8	14.6	14.6	15.0	15.6		14.6	14.6				14.6	14.6
Pension Liabilities	23.0	22.9	23.0	22.5	22.5	22.3	22.1		22.5	22.5				22.5	22.5
Others	140.9	128.0	123.3	111.1	111.1	104.9	105.8		116.1	116.1				121.1	121.1
Non-controlling Interests	**4.7**	**4.8**	**5.0**	**5.4**	**5.4**	**5.6**	**5.9**		**5.4**	**5.4**				**5.4**	**5.4**
Equity	**2,317.6**	**2,031.5**	**2,237.3**	**2,443.0**	**2,443.0**	**2,540.8**	**2,849.6**		**3,138.2**	**3,138.2**				**3,518.5**	**3,518.5**
Capital Stock	153.2	153.2	153.2	153.2	153.2	153.2	153.2		153.2	153.2				153.2	153.2
Additional Paid-in Capital	297.4	289.3	292.8	299.3	299.3	306.8	310.8		299.3	299.3				299.3	299.3
Retained Earnings	1,284.3	1,087.1	1,195.4	1,213.8	1,213.8	1,230.5	1,370.8		1,909.0	1,909.0				2,289.2	2,289.2
Other components of equity	672.3	576.9	667.2	846.8	846.8	919.1	1,068.0		846.8	846.8				846.8	846.8
Treasury Stock	-89.6	-75.0	-71.3	-70.0	-70.0	-68.9	-53.2		-70.0	-70.0				-70.0	-70.0
Liabilities & Equity	**4,195.5**	**3,872.2**	**4,012.7**	**4,177.2**	**4,177.2**	**4,227.4**	**4,562.5**		**4,792.4**	**4,792.4**				**5,102.8**	**5,102.8**
Interest-bearing Debt	1,384.5	1,349.0	1,304.3	1,230.6	1,230.6	1,205.0	1,180.9		1,087.6	1,087.6				944.6	944.6
Net Interest-bearing Debt	1,206.9	1,137.9	1,065.9	934.7	934.7	937.4	804.9		400.4	400.4				4.5	4.5
Shareholders' Equity Ratio	55.2%	52.5%	55.8%	58.5%	58.5%	60.1%	62.5%		65.5%	65.5%				69.0%	69.0%
Net Debt Equity Ratio	0.5	0.6	0.5	0.4	0.4	0.4	0.3		0.1	0.1				0.0	0.0
Net Debt to Non-GAAP EBITDA ratio	2.6	2.6	2.5	2.0	2.0	1.8	1.5		0.6	0.6				0.0	0.0
Debt Repayment Schedule															
Corporate Bond										0.0					0.0
Long-term Debt										143.0					143.0
Lease Obligations										0.0					0.0

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 19: Renesas: Consolidated statement of cash flow

(yen billion)	CY25					CY26					CY27				
FY	Mar	Jun	Sep	Dec	CY25	Mar	Jun	Sep e	Dec e	CY26e	Mar e	Jun e	Sep e	Dec e	CY27e
Net Income	26.0	-201.3	106.3	17.3	-51.8	68.3	149.2			746.3					434.9
Depreciation & Amortization	54.3	43.8	44.8	45.8	188.6	47.4	46.8			188.1					198.2
Change in Current Assets	27.3	-15.3	-9.9	-41.6	-39.6	-45.4	-357.4			-74.6					-87.8
Change in Current Liabilities	-1.6	-1.6	-15.1	43.5	25.2	-8.3	49.5			58.0					68.2
Change in Non-current Liabilities	-20.6	-13.1	-4.6	-12.7	-50.9	-6.5	0.7			5.0					5.0
Change in Minority Interest	-0.2	0.0	0.2	0.4	0.5	0.2	0.3			0.0					0.0
Other	10.6	289.9	-23.1	103.4	380.8	29.0	283.2			-443.3					-3.6
Net Operating Cash Flow	**95.7**	**102.4**	**98.6**	**156.1**	**452.9**	**84.8**	**172.2**			**479.4**					**614.9**
Proceeds from Sales of PPE	0.0	1.8	3.3	0.1	5.2	0.2	-0.0			0.0					0.0
Additions to PPE	-26.6	-21.2	-22.8	-18.5	-89.2	-22.8	2.7			-80.0					-120.0
Change in Investments	-0.6	-0.4	-0.6	9.2	7.6	-0.5	0.3			234.0					-0.0
Cash used for M&A	-2.8	-0.0	0.0	-3.8	-6.7	-1.3	-2.3			0.0					0.0
Cash used for intangible assets	-9.2	-16.3	-9.7	-9.5	-44.6	-10.2	-16.2			-48.0					-48.0
Other	0.3	11.1	-0.8	-7.7	2.9	-3.2	-22.4			0.0					0.0
Net Investing Cash Flow	**-38.9**	**-25.0**	**-30.7**	**-30.2**	**-124.7**	**-37.8**	**-37.9**			**106.0**					**-168.0**
Free Cash Flow	**56.9**	**77.4**	**67.9**	**126.0**	**328.2**	**47.0**	**134.3**			**585.4**					**446.9**
FCF excluding cash for M&A	**59.6**	**77.4**	**67.9**	**129.8**	**334.8**	**48.3**	**136.6**			**351.4**					**446.9**
Change in Short-term Debt	0.0	10.0	-10.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds L/T Borrowings	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment of LT Borrowings	-35.7	-35.7	-35.7	-85.7	-192.7	-27.0	-27.1			-143.0					-143.0
Proceeds Share Issuance	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds Bond Issuance	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment of Bond	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Proceeds from lease contracts	0.0	0.0	0.0	0.0	0.0	0.0	0.0			0.0					0.0
Repayment lease obligation	-2.5	-2.5	-2.5	6.4	-1.0	-2.7	-2.7			0.0					0.0
Share Repurchase	0.0	0.0	0.0	22.1	22.1	0.0	0.0			0.0					0.0
Dividend Paid	-48.9	-1.5	-0.0	-0.0	-50.3	-50.6	-0.3			-51.0					-51.0
Other	-3.3	-4.6	-4.0	-35.9	-47.7	-4.4	-4.7			0.0					0.0
Net Financing Cash Flow	**-90.3**	**-34.3**	**-52.1**	**-93.0**	**-269.7**	**-84.8**	**-34.8**			**-194.0**					**-194.0**
Effect of Forex Changes	**-18.2**	**-9.6**	**11.5**	**24.5**	**8.2**	**9.5**	**8.9**			**0.0**					**0.0**
Cash change due to merger															
Net increase in cash	**-51.6**	**33.5**	**27.3**	**57.5**	**66.6**	**-28.3**	**108.4**			**391.3**					**252.9**
Cash at beginning of period	229.2	177.6	211.1	238.4	229.2	295.9	267.6			295.9					687.2
Cash at end of period	**177.6**	**211.1**	**238.4**	**295.9**	**295.9**	**267.6**	**376.0**			**687.2**					**940.1**

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 20: Renesas: ROE and valuation

	CY25					CY26					CY27				
FY	Mar	Jun	Sep	Dec	CY25	Mar	Jun	Sep e	Dec e	CY26e	Mar e	Jun e	Sep e	Dec e	CY27e
Return on Equity					**-2.1%**					**26.7%**					**13.1%**
Return on Equity (non-GAAP basis)					**13.2%**					**16.0%**					**16.6%**
Return on Assets					-0.4%					16.9%					9.0%
Net Profit Margin					-3.9%					45.3%					22.8%
Asset Turnover					0.3					0.4					0.4
Financial Leverage					1.7					1.6					1.5
EBIT Margin					0.2%					56.8%					28.8%
Interest Burden					0.4%					0.4%					0.3%
Tax Rate					-70.6%					19.0%					19.0%
Retention Rate					198.1%					93.2%					87.4%
Internal Growth Rate					-4.1%					24.9%					11.4%
Valuation															
Stock price (yen) (annual average)					**1,950**					**5,500**					**5,500**
Market Cap (yen bn)					3,536.0					10,027.0					10,027.0
Net Debt (yen bn)					934.7					400.4					4.5
Enterprise Value (yen bn)					4,470.7					10,427.4					10,031.5
P/E					-68.1					13.4					23.1
P/E (Non-GAAP EPS basis)					10.7					22.4					18.2
EV / Sales					3.4					6.3					5.3
EV / Non-GAAP EBITDA					9.6					16.3					12.9
EV / FCF (excluding cash for M&A)					13.6					17.8					22.4
P/B					1.45					3.20					2.85
FCF / Enterprise value					7.3%					5.6%					4.5%
Dividend Yield					1.4%					0.5%					0.5%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 21: Broad-based semiconductor companies; Sales, gross margin and operating margin

(US$mn) CY	Annual 20	21	22	23	24	25	Quarter 24 1-3	4-6	7-9	10-12	25 1-3	4-6	7-9	10-12	26 1-3	4-6
US$/Yen	107	110	130	140	151	150	148	156	149	152	154	145	147	154	156	160
EUR	0.88	0.85	0.93	0.93	0.92	0.89	0.92	0.93	0.91	0.94	0.95	0.88	0.86	0.86	0.84	0.86
Sales																
Texas Instruments	14,461	18,344	20,028	17,519	15,641	17,682	3,661	3,822	4,151	4,007	4,069	4,448	4,742	4,423	4,825	5,463
Renesas Electronics	6,707	9,033	11,640	10,493	8,918	8,796	2,377	2,299	2,317	1,925	2,005	2,239	2,273	2,279	2,387	2,533
STMicroelectronics	10,219	12,761	16,128	17,286	13,269	11,799	3,465	3,232	3,251	3,321	2,517	2,766	3,187	3,329	3,095	3,487
Infineon Technologies	10,626	13,693	16,130	17,364	15,902	16,857	3,959	3,987	4,307	3,649	3,778	4,200	4,612	4,268	4,538	4,799
NXP Semiconductors	8,612	11,063	13,205	13,276	12,614	12,269	3,126	3,127	3,250	3,111	2,835	2,926	3,173	3,335	3,181	3,496
Rohm	3,256	3,954	3,900	3,379	3,023	3,160	761	758	763	741	674	801	871	814	715	848
Analog Devices	5,858	8,444	12,579	11,568	9,337	11,756	2,159	2,312	2,443	2,423	2,640	2,880	3,076	3,160	3,623	4,022
Microchip	5,298	6,444	8,050	8,541	4,757	4,372	1,326	1,241	1,164	1,026	971	1,076	1,140	1,186	1,311	1,485
onsemi	5,255	6,740	8,326	8,253	7,082	5,995	1,863	1,735	1,762	1,723	1,446	1,469	1,551	1,530	1,513	1,604
Mitsubishi Electric	1,902	2,144	2,098	2,050	1,915	1,873	511	477	481	446	469	472	492	440	504	493
Sales (YoY % change)																
Texas Instruments	1%	27%	9%	-13%	-11%	13%	-16%	-16%	-8%	-2%	11%	16%	14%	10%	19%	23%
Renesas Electronics	2%	35%	29%	-10%	-15%	-1%	-12%	-14%	-12%	-22%	-16%	-3%	-2%	18%	19%	13%
STMicroelectronics	7%	25%	26%	7%	-23%	-11%	-18%	-25%	-27%	-22%	-27%	-14%	-2%	0%	23%	26%
Infineon Technologies	19%	29%	18%	8%	-8%	6%	-11%	-10%	-4%	-8%	-5%	5%	7%	17%	20%	14%
NXP Semiconductors	-3%	28%	19%	1%	-5%	-3%	0%	-5%	-5%	-9%	-9%	-6%	-2%	7%	12%	19%
Rohm	-3%	21%	-1%	-13%	-11%	5%	-14%	-13%	-8%	-6%	-11%	6%	14%	10%	6%	6%
Analog Devices	2%	44%	49%	-8%	-19%	26%	-34%	-25%	-10%	-4%	22%	25%	26%	30%	37%	40%
Microchip	0%	22%	25%	6%	-44%	-8%	-41%	-46%	-48%	-42%	-27%	-13%	-2%	16%	35%	38%
onsemi	-5%	28%	24%	-1%	-14%	-15%	-5%	-17%	-19%	-15%	-22%	-15%	-12%	-11%	5%	9%
Mitsubishi Electric	1%	13%	-2%	-2%	-7%	-2%	-7%	-3%	-9%	-6%	-8%	-1%	2%	-1%	7%	4%
Non-GAAP gross margin																
Texas Instruments	64%	67%	69%	63%	58%	57%	57%	58%	60%	58%	57%	58%	57%	56%	58%	61%
Renesas Electronics	47%	53%	58%	57%	56%	58%	57%	57%	56%	55%	57%	57%	58%	59%	59%	58%
STMicroelectronics	39%	42%	47%	48%	39%	34%	42%	40%	38%	38%	33%	33%	33%	35%	34%	35%
Infineon Technologies	37%	42%	47%	46%	42%	42%	41%	42%	43%	41%	41%	43%	41%	43%	41%	43%
NXP Semiconductors	51%	56%	58%	58%	58%	57%	58%	59%	58%	58%	56%	56%	57%	57%	57%	58%
Rohm	31%	35%	38%	34%	23%	21%	27%	25%	24%	16%	11%	22%	26%	21%	27%	26%
Analog Devices	69%	71%	74%	71%	68%	70%	67%	68%	68%	69%	69%	69%	70%	71%	73%	73%
Microchip	62%	65%	67%	67%	59%	56%	60%	60%	60%	55%	52%	54%	57%	61%	62%	64%
onsemi	33%	40%	49%	47%	45%	38%	46%	45%	45%	45%	40%	38%	38%	38%	42%	43%
Non-GAAP Operating Margin																
Texas Instruments	42%	50%	52%	42%	34%	35%	32%	33%	37%	34%	33%	35%	37%	34%	38%	43%
Renesas Electronics	19%	30%	37%	34%	30%	29%	32%	31%	28%	26%	27%	28%	31%	31%	34%	33%
STMicroelectronics	12%	18%	27%	26%	11%	3%	14%	11%	11%	9%	-2%	0%	5%	6%	3%	6%
Infineon Technologies	12%	17%	23%	24%	17%	16%	17%	18%	20%	14%	15%	17%	16%	15%	15%	16%
NXP Semiconductors	26%	33%	36%	35%	35%	33%	35%	34%	35%	34%	32%	32%	34%	35%	33%	29%
Rohm	8%	16%	18%	12%	-2%	-1%	2%	1%	-2%	-9%	-16%	0%	6%	2%	1%	7%
Analog Devices	41%	44%	51%	47%	40%	43%	39%	41%	41%	40%	41%	42%	43%	45%	49%	49%
Microchip	35%	40%	45%	47%	28%	22%	33%	31%	29%	21%	14%	21%	24%	29%	31%	35%
onsemi	10%	22%	35%	32%	28%	19%	29%	28%	28%	27%	18%	17%	19%	20%	19%	21%

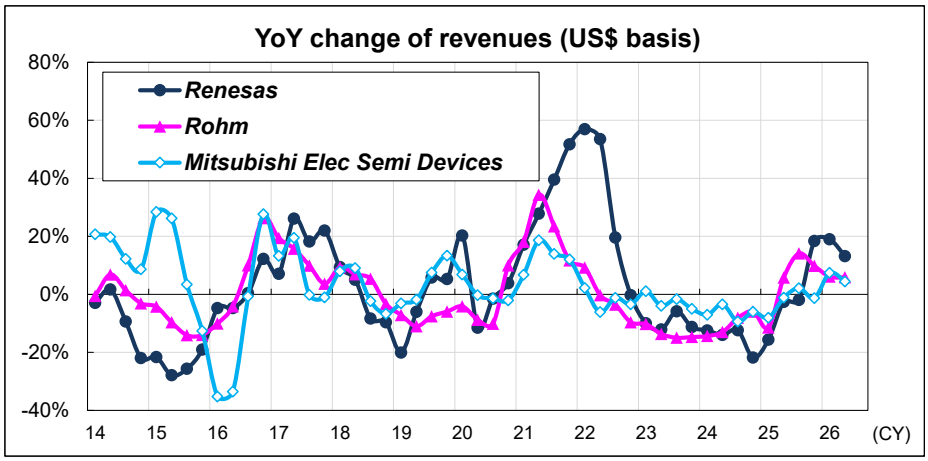
Source: Company data, Morgan Stanley Research

Exhibit 22: Broad-based semiconductor companies: Inventory

(US$mn)	Annual						Quarter									
CY	20	21	22	23	24	25	24 1-3	4-6	7-9	10-12	25 1-3	4-6	7-9	10-12	26 1-3	4-6
Inventories																
Texas Instruments	1,955	1,910	2,757	3,999	4,527	4,804	4,083	4,106	4,296	4,527	4,687	4,812	4,829	4,804	4,695	4,605
Renesas Electronics	855	1,220	1,333	1,421	1,161	1,207	1,158	1,141	1,162	1,161	1,140	1,143	1,187	1,207	1,282	1,326
STMicroelectronics	1,812	1,972	2,583	2,698	2,794	3,136	2,685	2,810	2,880	2,794	3,014	3,273	3,167	3,136	3,173	3,188
Infineon Technologies	2,331	2,653	3,305	4,656	4,673	5,227	4,800	4,769	4,385	4,673	4,558	4,853	4,843	5,227	5,405	5,269
NXP Semiconductors	1,030	1,189	1,782	2,134	2,356	2,577	2,102	2,148	2,234	2,356	2,350	2,361	2,452	2,577	2,523	2,557
Rohm	1,143	1,231	1,290	1,481	1,488	1,278	1,511	1,448	1,491	1,488	1,321	1,392	1,361	1,278	1,297	1,261
Analog Devices	619	973	1,523	1,648	1,475	1,767	1,479	1,428	1,448	1,475	1,525	1,597	1,656	1,767	1,848	1,931
Microchip	686	768	1,165	1,311	1,356	1,058	1,316	1,308	1,340	1,356	1,294	1,169	1,095	1,058	1,035	1,047
onsemi	1,251	1,380	1,617	2,112	2,242	1,990	2,147	2,225	2,243	2,242	2,078	2,087	2,048	1,990	2,049	2,048
Days of inventory																
Texas Instruments	125	118	159	222	241	222	234	229	231	241	240	231	215	222	209	199
Renesas Electronics	80	88	100	109	120	114	103	105	105	120	118	106	112	114	118	112
STMicroelectronics	90	92	102	106	123	133	121	132	130	123	164	162	136	133	141	128
Infineon Technologies	114	119	147	194	198	196	188	189	164	198	186	185	162	196	184	175
NXP Semiconductors	77	81	114	131	150	154	143	147	147	150	168	158	161	154	165	156
Rohm	169	175	208	246	218	183	248	233	234	218	201	204	191	183	226	182
Analog Devices	121	118	162	175	178	177	188	176	169	178	172	165	163	177	172	159
Microchip	124	116	152	185	266	201	224	237	247	266	251	214	199	201	185	175
onsemi	120	124	136	179	217	192	194	214	213	217	219	208	194	192	201	189

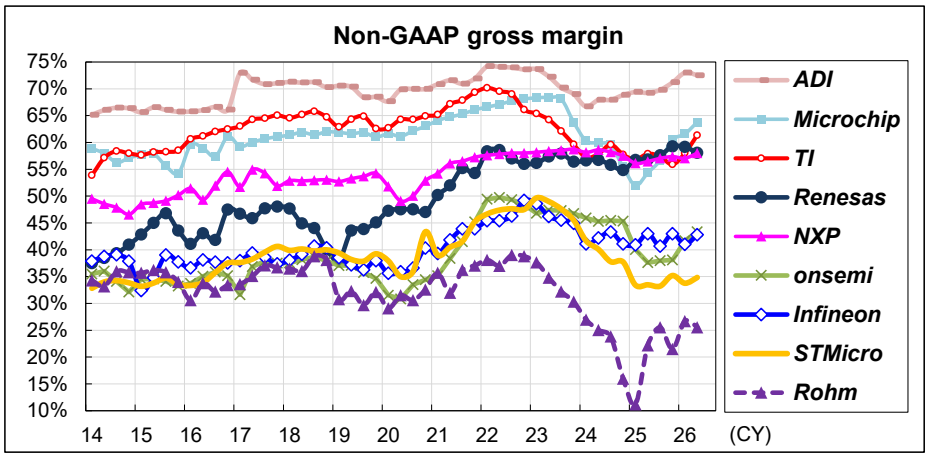
Source: Company data, Morgan Stanley Research

Exhibit 23: Renesas, Rohm and Mitsubishi Electric: YoY % change in semiconductor revenues



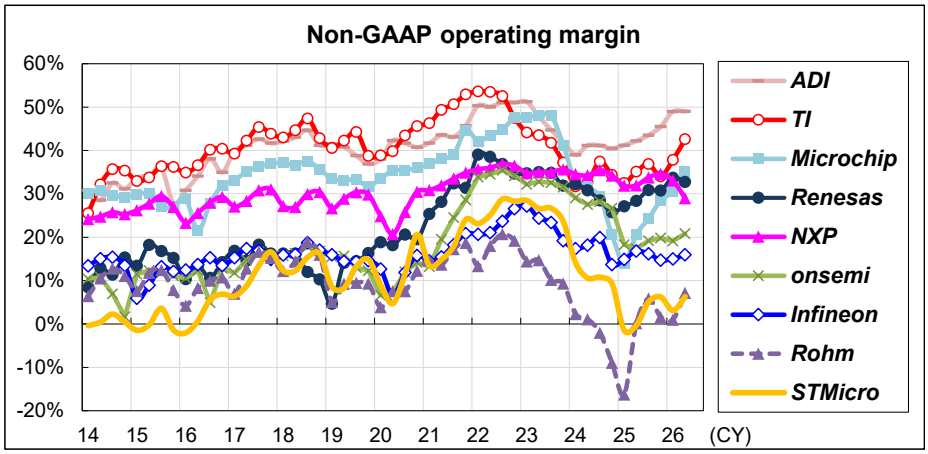
Source: Company data, Morgan Stanley Research

Exhibit 24: Broad-based semiconductor companies: Non-GAAP gross margin



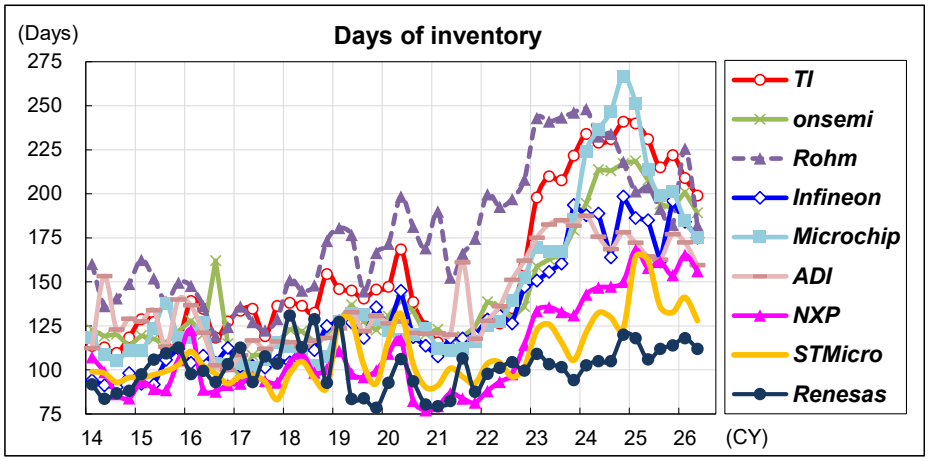
Source: Company data, Morgan Stanley Research

Exhibit 25: Broad-based semiconductor companies: Non-GAAP operating margin



Source: Company data, Morgan Stanley Research

Exhibit 26: Broad-based semiconductor companies: Days of inventory



Source: Company data, Morgan Stanley Research

Risk Reward – Renesas Electronics (6723.T)

Mid-term revenue growth outlook has improved, driven by data center products.

PRICE TARGET ¥5,500

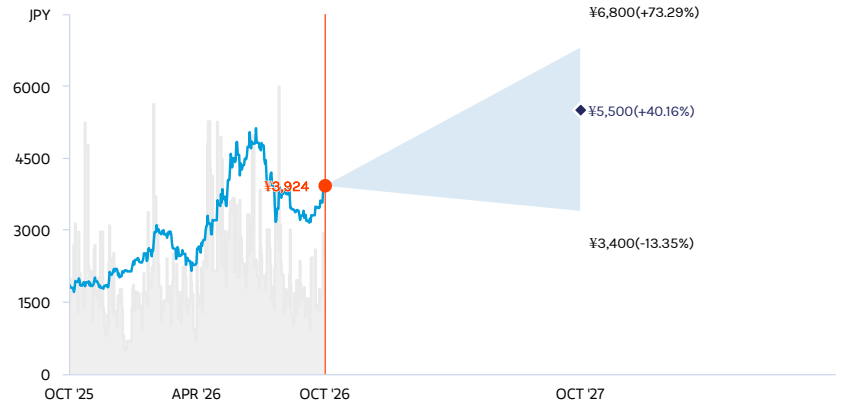
CY27e non-GAAP EPS x 18x. Multiple is set at a 5% discount from the average for comparable companies (Infineon, NXP, and STMicro) given uncertainty over Renesas' software/digitalization strategy and capital allocation.

Consensus Price Target Distribution ¥2,350.00 ¥5,121 ¥6,800.00 MS PT

Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- After years of stagnation, we expect growth of memory interface and digital power for datacenters, MCU for E/E architecture, R-Car for ADAS to drive revenue growth from CY26.
- Product mix improvement should drive continued gross margin improvement.
- Data center revenue growth and sustained gross margin improvement outlook, as well as improved prospect of shareholder returns, could trigger re-rating.

Consensus Rating Distribution

77% Overweight
23% Equal-weight
0% Underweight
MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE ¥6,800

CY27e non-GAAP EPS x 20

Multiple expands beyond the base case.

Revenue growth accelerates as the data center business expands.

Gross margin improvement exceeds our expectations, supported by a better product mix.

CY27e sales ¥1.97trn, non-GAAP OP ¥757.3bn, non-GAAP EPS ¥338.

BASE CASE ¥5,500

CY27e non-GAAP EPS x 18

Earnings recover in CY2026-27 and data center revenues expand sharply.

CY27e sales ¥1.90trn, non-GAAP OP ¥678.9bn, non-GAAP EPS ¥303.

BEAR CASE ¥3,400

CY27e non-GAAP EPS x 12

Valuation multiple remains depressed.

Data center revenue growth stalls amid intensifying competition.

CY27e sales ¥1.83trn, non-GAAP OP ¥624.1bn, non-GAAP EPS ¥278.

Risk Reward – Renesas Electronics (6723.T)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Automotive gross profit (¥, bn)	345	411	442	470
Industrial / Infrastructure / IoT gross profit (¥, bn)	389	547	662	791

CATALYST CALENDAR

Source: Refinitiv, Morgan Stanley

Date	Event
25 Mar 2027 - 29 Mar 2027	Renesas Electronics Corp Annual Shareholders Meeting

INVESTMENT DRIVERS

- Top line growth
- Gross margin improvement
- FCF generation, steady decline in financial leverage, and expanded shareholder returns

GLOBAL REVENUE EXPOSURE



- 0-10% Europe ex UK
- 0-10% North America
- 0-10% UK
- 20-30% APAC, ex Japan, Mainland China and India
- 20-30% Japan
- 20-30% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 **MOST** — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger than expected semiconductor demand
- Stronger than expected gross margin improvement
- Greater than expected synergy generated with acquired companies

RISKS TO DOWNSIDE

- Weaker than expected semiconductor demand
- Severer than expected market share decline
- FX: Annual non-GAAP OP declines by ¥3.2bn (per ¥1 appreciation vs. US$) and ¥400mn (vs. Euro).

OWNERSHIP POSITIONING

Inst. Owners, % Active 65.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (¥, bn)	1,390.0	1,646.3 / 1,637.1	1,700.0
EBITDA (¥, bn)	466.5	640 / 616.7	725.8
Net income (¥, bn)	231.0	506.4	746
EPS (¥)	127.4	245.7 / 246.9	371.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Valuation Methodology and Risks

KIOXIA Holdings (285A.T)

FY3/28e FCF yield of approximately 10%: Considering the company's strong FCF outlook, its shareholder return policy, and the significant growth potential driven by AI inference, we believe that an FCF yield of around 10% should provide sufficient support for the share price. Implied P/E of our target price based on our FY3/28 EPS forecast is 10x.

Risks to Upside

Greater-than-expected improvement in NAND flash S/D on AI-driven growth in end demand and supply-side adjustments

SSD market share gains

Risks to Downside

Longer-than-expected deterioration in NAND S/D on declining end demand, capacity expansion by Chinese companies

Japanese yen appreciation (we estimate one yen appreciation against US$ lowers OP by about Y6bn annually)

SiTime Corporation (SITM.O)

We value SITM at 37x CY28e Non-GAAP EPS of $19.75, implying a $730 PT. Our multiple represents a ~10% premium to a mid-cycle range for Growth Analog/FPGA peers, reflecting SiTime's combination of stronger growth and high-end GM%.

Risks to Upside

- SAM expansion: increased precision timing adoption, faster TPD integration/cross-sell.
- **AI spend:** accelerated networking refresh, >inference workloads.
- **Valuation:** Premium sustained by stronger growth & operating leverage.

Risks to Downside

- SAM contraction: slower precision timing adoption, TPD integration challenges.
- **AI spend:** lower AI capex, 1.6T->3.2T stagnation.
- **Valuation:** Premium erodes on fundamental softness.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of September 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

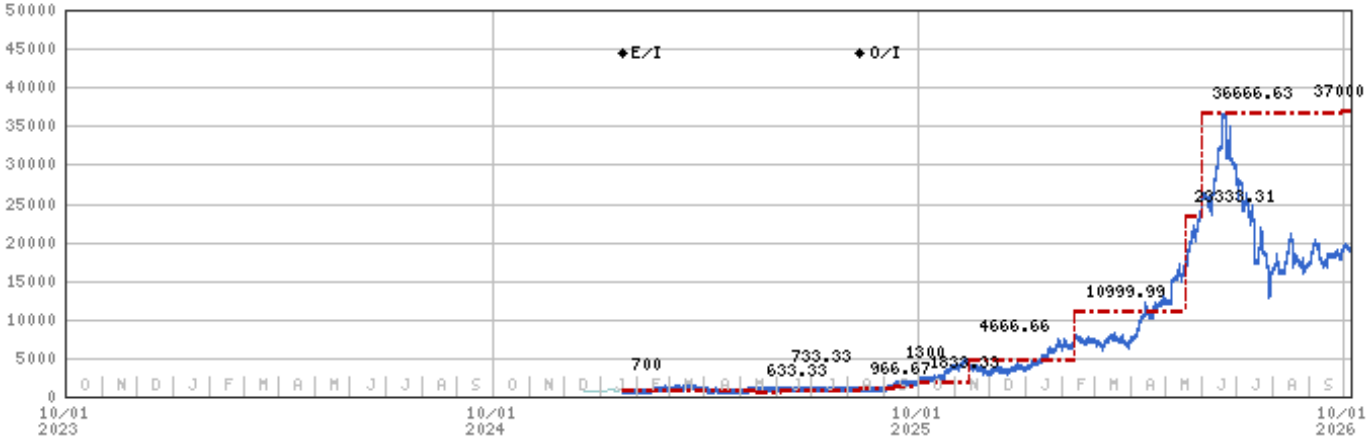
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

KIOXIA Holdings (285A.T) - As of 10/07/26 GMT in JPY
Industry : Japan Semiconductors



Stock Rating History: 1/20/25 : E/I; 8/12/25 : O/I

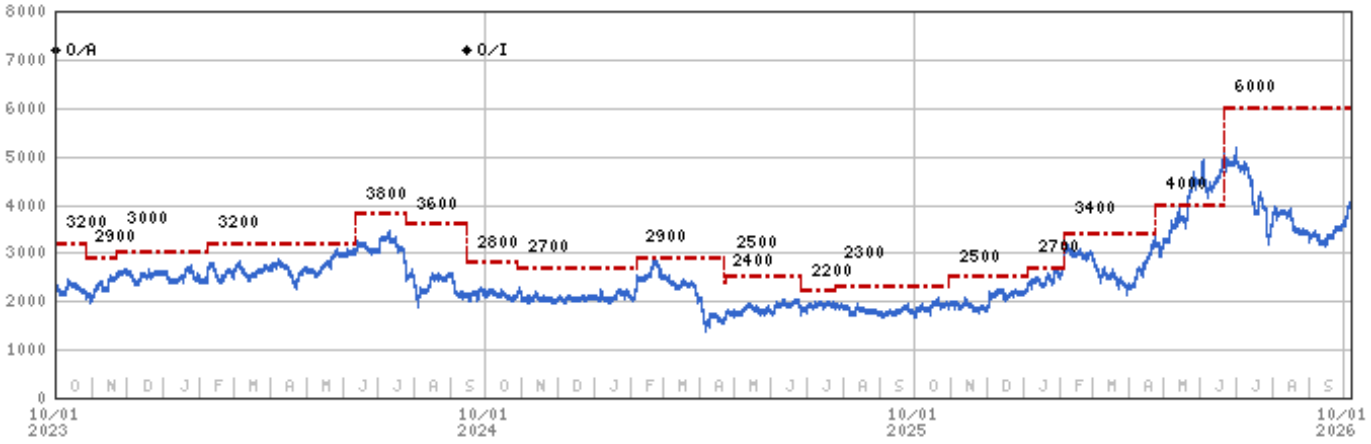
Price Target History: 1/20/25 : 700; 5/15/25 : 633.33; 6/6/25 : 733.33; 8/12/25 : 966.67; 9/11/25 : 1300; 10/1/25 : 1833.33; 11/14/25 : 4666.66; 2/12/26 : 10999.99; 5/18/26 : 23333.31; 6/2/26 : 36666.63; 9/30/26 : 37000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Renesas Electronics (6723.T) - As of 10/07/26 GMT in JPY
Industry : Japan Semiconductors



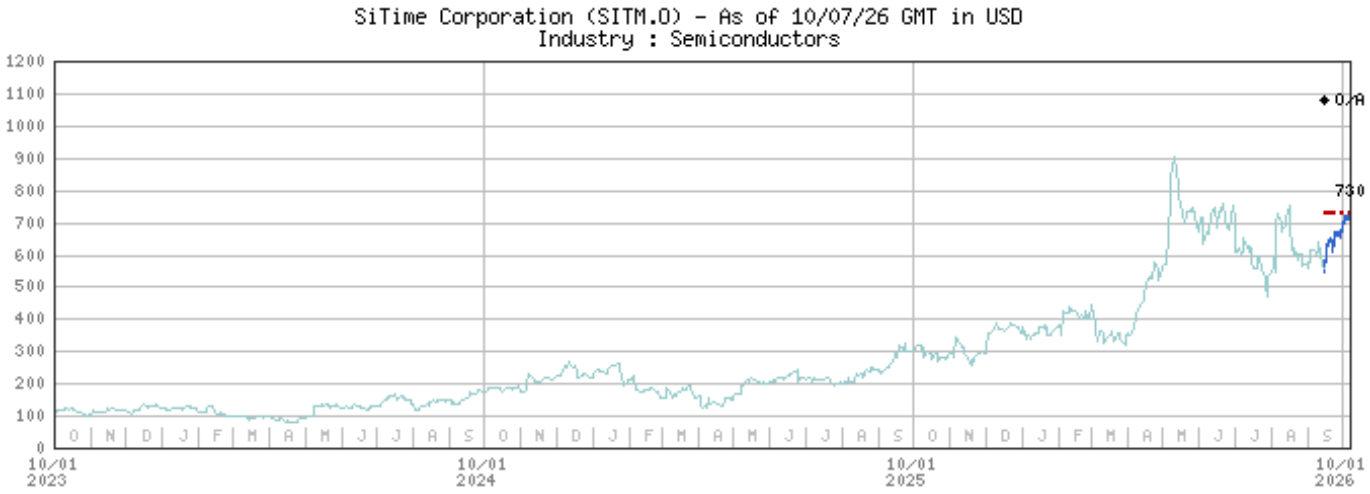
Stock Rating History: 10/1/21 : O/I; 7/7/23 : O/A; 9/15/24 : O/I

Price Target History: 9/24/21 : 2100; 6/17/22 : 2000; 1/3/23 : 1900; 2/9/23 : 2000; 4/27/23 : 2200; 5/22/23 : 2500; 7/27/23 : 3200; 10/26/23 : 2900; 11/22/23 : 3000; 2/8/24 : 3200; 6/12/24 : 3800; 7/26/24 : 3600; 9/15/24 : 2800; 10/28/24 : 2700; 2/6/25 : 2900; 4/21/25 : 2400; 4/24/25 : 2500; 6/27/25 : 2200; 7/25/25 : 2300; 10/30/25 : 2500; 1/5/26 : 2700; 2/5/26 : 3400; 4/24/26 : 4000; 6/22/26 : 6000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Stock Rating History: 9/16/26 : O/A

Price Target History: 9/16/26 : 730

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: Japan Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/07/2026)
Kazuo Yoshikawa, CFA		
HOYA (7741.T)	E (10/30/2023)	¥25,135
KIOXIA Holdings (285A.T)	O (08/12/2025)	¥17,900
Renesas Electronics (6723.T)	O (11/26/2019)	¥3,924
Rohm (6963.T)	++	¥5,375
Socionext (6526.T)	U (01/27/2026)	¥2,240

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

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